

Schedule of Add-backs

Seller's discretionary earnings recast — Quenby Grounds Management LLC
Prepared from the business tax returns and year-end statements · Unaudited

Line item	FY2023	FY2024	FY2025
Net income (ordinary business income)	\$120,000	\$130,000	\$140,000
Add: Owner salary (Form 1120-S line 7)	\$81,600	\$77,000	\$76,600
Add: Depreciation (line 14)	\$21,300	\$20,700	\$20,300
Add: Interest expense	\$6,500	\$6,700	\$6,600
Add: Owner health insurance	\$11,800	\$11,000	\$11,600
Add: One-time: roof repair 2024	—	\$18,400	—
Add: Personal vehicle use	\$5,500	\$5,300	\$5,200
Seller's discretionary earnings	\$246,700	\$269,100	\$260,300

Each add-back traces to a general ledger account and supporting invoice. Owner salary is added back in full because the buyer will replace the seller in the business; the lender's underwriting deducts a market salary for the buyer.